

FLEET REPORT: USDOT NUMBER REVIEW

This report is based on the USDOT numbers found associated with Universal Engineering Sciences (UES) in the federal database. To apply this data in a fleet evaluation and safety analysis we would need confirmation from UES that these are part of their operations.

UES Fleet Analysis by Company/Location

- 1. Alpha Testing – ALPHA TESTING LLC USDOT 432419 Dallas, TX**
 - **Fleet:** 10 trucks, 8 drivers.
 - **Analysis:** 100% vehicle out of service rate due to maintenance issues in 2020 and 2021 (poor dataset, however – no violations for 2022).
- 2. Contour Engineering – CONTOUR ENGINEERING LLC USDOT 3223192 Kennesaw, GA**
 - **Fleet:** 3 trucks, 2 drivers.
 - **Analysis:** No roadside inspection history; operating under the radar.
- 3. CTE Inc. – CTE INC. USDOT 3047084 El Cajon, CA**
 - **Fleet:** 2 trucks, 2 drivers.
 - **Analysis:** 100% vehicle out of service rate due to inoperable turn signal in June 2022 (poor dataset).
 - **Note:** The El Cajon location was not listed on the CTE website, so either this is or is not the same CTE Inc. that is part of the UES Family of Companies.
- 4. Geo Services LLC – GEO SERVICES INC. USDOT 1187902**
 - **Fleet:** 5 trucks, 8 drivers.
 - **Analysis:** No roadside inspection history, operating under the radar.
 - **Note:** “Inc.” in the company name. It could be that management neglected to change Inc. to LLC at the last MCS-150 update, or it could be that this is not the same Geo Services that is part of the UES Family of Companies.

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5. **Geotechnology, Inc. – GEOTECHNOLOGY EXPLORATION LLC USDOT 3504506**

- **Fleet:** 36 trucks, 45 drivers.
- **Analysis:** Vehicle Out Of Service (OOS) rate = 11% (nearly half the national average); great data set. Driver Out Of Service (OOS) rate = 10% (above the national average of 6%); great data set.
- **Note:** Vehicle Miles Traveled (VMT) = not indicated at last MCS-150 update in 2020) – OUTDATED, needs to be updated. This is important for crash factor determination, otherwise this motor carrier will be flagged for a misrepresented score when collision history accrues. Secondly, the FMCSA has flagged this carrier as such, so it needs to be corrected. Would be good to have this corrected in advance of underwriting as it shows management is on top of their operation.

6. **GFA International – KOESTER ENGINEERING COMPANY INC dba GFA INTERNATIONAL USDOT 845387**

- **Fleet:** 1 truck, 1 driver (is this accurate data?)
- **Analysis:** MCS-150 has not been updated since 1998 (24 years) – this number is at risk of deactivation by the FMCSA for failure to update. If this number is needed under this FEIN, an MCS-150 update is needed to correct all information – including vehicle count, driver count, Vehicle Miles Traveled, etc.
- **Note:** No roadside inspection history – is this number still in use? Should it be deactivated?

7. **GSI Engineering – I found GSI ENGINEERING LLC dba GSI USDOT 178002**

- **Fleet:** 15 trucks, 29 drivers.
- **Analysis:** Vehicle Out Of Service (OOS) rate = 33% (the national average is 21%); great data set. Mostly braking and lamp issues. Driver Out Of Service (OOS) rate = 9% (above the national average of 6%); great data set. Mostly hours of service issues.
- **Note:** Satisfactory Safety Rating from 1989. Most motor carriers do not have a safety rating, but out of the three results, Satisfactory is the desired result – so this is good.

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8. McGinley & Associates – no USDOT number found.

- **Fleet:** Not found in database. That could mean they don't need one, or they do need one and haven't registered, or this company is listed under a DBA.

9. Summit – no USDOT number found.

- **Fleet:** Not found in database. That could mean they don't need one, or they do need one and haven't registered, or this company is listed under a DBA.

10. Universal Engineering Sciences – UNIVERSAL ENGINEERING SCIENCES INC USDOT 938585

- **Fleet:** 24 trucks, 52 drivers.
- **Analysis:** No roadside inspection history, operating under the radar.

11. Wallace-Kuhl & Associates - no USDOT number found.

- **Fleet:** Not found in database. That could mean they don't need one, or they do need one and haven't registered, or this company is listed under a DBA.

Conclusion and Follow Up

From our search of the federal USDOT database we found 97 vehicles and 172 drivers registered with UES and its subsidiaries.

Why are USDOT numbers a significant risk issue/indicator?

USDOT numbers are used to track performance of motor carriers in the Safety And Fitness Electronic Records System (SAFER) and the Safety Measurement System (SMS). Keeping information updated through the required biennial update ensures that the motor carrier will not be flagged for deactivation of authority or other enforcement intervention – costly business interruptions. Additionally, this ensures the motor carrier is placed in the proper peer group based on fleet size and equipment operated to ensure the fleet is not

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inadvertently targeted for roadside inspections. Both SAFER and SMS provide a glimpse into roadside inspection historical trends that can be used by management to direct corrective efforts such as policy enhancement, training, disciplinary actions, etc. This information is used by enforcement to direct roadside inspection targeting efforts and by underwriters when determining premiums in advance of renewal. Finally, plaintiff attorneys use this information to portray the motor carrier in a negative light during legal proceedings following catastrophic collision involvement, thereby increasing the risk of a nuclear verdict should history be problematic.

What the data found suggests to you?

Absent any confirmation that the eight USDOT numbers are part of UES and that there are no missing USDOT numbers, we see two opportunities for remediation.

From a high-level perspective, the data suggests there is an opportunity to strengthen and standardize management programs across all locations to enhance compliance, safety, and reduce collision risk. Attention should be given to each number to ensure that the fleet size, driver quantity, radius of operations, and Vehicle Miles Traveled are accurate. This reduces the risk of deactivation (“loss of authority”) and ensures fleets are in proper peer groups to reduce enforcement targeting and underwriter scrutiny.

More specifically, for the four USDOT numbers that showed a higher than desirable Out Of Service rate, the data suggests there is an opportunity to focus on those fleets first in order to initiate initial corrective actions. This approach is critical because new violations count more than older violations. This enables a motor carrier to realize a more rapid decline in roadside inspection targeting (business interruptions), thereby reducing risk of violations and penalties. Implementing this strategy will first require obtaining a greater understanding of existing management efforts for those four motor carriers.

What is the next step in the process?

First, we must confirm that Greyling/EPIC’s review is based on correct information – we need to confirm the existing listing of USDOT numbers is correct and we need to pull the history for any missing USDOT numbers and incorporate them into the review.

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Once we have a precise listing of USDOT numbers, we will reference the data in dialogue with UES to obtain a cultural understanding of management philosophies among the locations, and from there we would determine how to mentor leadership in a prioritized fashion to improve performance. Although we would begin first with USDOT numbers that require prompt attention, our ultimate goal would be to strengthen and standardize management programs across all locations to enhance compliance, safety, and reduce collision risk throughout the UES organization. The ultimate outcome would be safer employees, increased work efficiency, and reduced premium.

Consequences of doing nothing:

- **Stakeholders** – Business partners and clients will research this information when determining your risk profile in advance of approving agreements. Staying on top of these issues lessens the time needed for approval. Whereas, a questionable or undesirable history lengthens this time and could jeopardize opportunities.
- **Enforcement** – You could experience deactivation of authority, increased roadside inspection targeting and other federal/state intervention risk, violations and penalties.
- **Insurance** – Increased underwriter scrutiny, increased underwriting requirements in terms of meeting safety requirements, and increased premiums are the likely consequences.
- **Legal exposures** – Plaintiff attorneys use this information to portray the motor carrier in a negative light during legal proceedings following catastrophic collision involvement, thereby increasing the risk of a nuclear verdict should history be problematic.



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